1972, Nepal got a new king, Birendra Bir Bikram Shah, who wanted to improve relations with China. In December 1973, he visited Beijing where the Chinese expressed their displeasure over the Tibetan bases in his country. In order to maintain a more independent stance towards India, Nepal's powerful southern neighbour, Birendra was willing to listen. The Chinese reciprocated by giving generous aid to Nepal.

In May 1974, a trade agreement was signed in Kathmandu between the Nepalese and the Chinese governments and, in July, the Nepalese military moved against the Tibetan camps in Mustang. They were disarmed without much resistance and their morale vanished almost completely after listening to a taped message from the Dalai Lama. He urged them, probably on instructions from the Americans, to lay down their arms and leave.

American support for the Tibetan resistance had come to an end after two historic visits to China by American dignitaries, that of the Secretary of State Henry Kissinger in July 1971 and of President Richard Nixon in February 1972. Despite their ideological differences, Washington and Beijing shared a common interest in countering the Soviet Union. National security policies were apparently more important than ideology, and the Tibetan resistance had to be sacrificed. China had agreed to normalize relations with the USA provided that it, among other things, stop all assistance to the Tibetans.

In India, China continued its support for ethnic rebel movements in the northeast until the death of Mao in September 1976 and the rise of the less ideologically rigid Deng Xiaoping. Deng had been branded a 'capitalist roader' during the Cultural Revolution—and that turned out to be correct. He introduced a number of free-market reforms, and China's economy began to grow at a breathtaking pace.

In Mizoram, a peace accord between the rebels and the Government of India was agreed upon in June 1986, paving the way for the union territory to become a full-fledged state within the Indian Union. Nagaland had achieved the same status in 1963, but disturbances continued there as well as in Manipur. In the late 1970s, serious disagreements over the validity of the armed struggle erupted within the old NNC, which led to the formation of the National Socialist Council of Nagaland (NSCN) in January 1980. Its main theoretician was Muivah, who had returned from China with a curious ideological blend of evangelical Christianity and revolutionary Maoism. But, since Muivah came from Manipur and not Nagaland, the